

3 RELATIVE STRENGTH INDEX

Relative strength index is a technical oscillator that indicates the point in time when the asset is overbought or oversold and when the trend can be expected to have a reversal. It is calculated based on recent price changes and its value moves between 0 and 100. An oversold situation indicates that a reversal can be expected and the asset price should start moving back up soon. An overbought situation indicates that a reversal can be expected in near future.

To calculate RSI, a statistical operation is conducted where we first fixate on a fixed time frame based on our trading practices and average holding period. By default, it is set at 14 periods. Next, periods of positive and negative price movement are segregated. Then the average gain and loss are calculated for the set of periods. Using the average gain and loss, a mathematical operation is conducted to derive the RSI value. Hence, average loss and average gain in the specific time period become the major factors that affect RSI.

